

A Review of the financial health of Canadian Tire against its Industry Peers

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Abstract

This report evaluates the long-term financial health of Canadian Tire Corporation, Limited (TSX:CTC.A). The purpose of this report is to conduct a financial analysis to determine whether Canadian Tire is currently a desirable long-term investment candidate, compare Canadian Tire's performance against its industry peers, and to compare it directly against a comparable competitor. Based on our findings from S&P Capital I.Q, the closest Canadian competitor selected was Empire Company Limited. Using Canadian Tire's 2025 Report to Shareholders and financial information for its Canadian industry peers, we compared key performance metrics through ratio analysis. This analysis identified areas where Canadian Tire has performed well, particularly liquidity and gross margin, and areas where it is falling behind its competition, including growth, returns, leverage relative to earnings, and free cash flow. Although Canadian Tire remains financially healthy, its revenue has broadly remained flat over the last 5 years, while net income has halved. Based on this evidence, Canadian Tire is not currently recommended as a preferred long-term investment candidate.

Summary of Findings

Canadian Tire while remaining a stable and financially healthy company, appears to have reached a period of stagnation in its growth. Its financial position is weaker than it was in 2021 and 2022, and revenue has remained broadly flat over the most recent 5-year period while its net income has halved.

When compared to Empire and other large retailers operating in Canada, Canadian Tire is less stable, less efficient, and more highly leveraged relative to earnings. It has also struggled to consistently convert earnings into free cash flow.

We would not recommend Canadian Tire as a preferred long-term investment candidate at this time. The strategic shift in the 'True North' strategy and the acquisition of the Hudson Bay brand will see an increase in sales, but Canadian Tire still needs to demonstrate stronger margins, better cash flow, and improved net income. There are other retailers who are positioned as safer long-term investments.

Company summary

Canadian Tire is one of the largest retail companies in Canada with a history spanning 104 years. It has strong brand recognition and 1,690 locations as of 2025 with 52 being added just last year. This makes it an optimal company to perform an investment analysis as it is a well-established, publicly traded company with a long operating history.

It has evolved over time to encompass a variety of retail sectors. Canadian Tire may be the marquee store in its portfolio but it also operates Mark's, Sportchek, Pro Hockey Life, PartSource, Gas+, Triangle Rewards, and financial services.

While Canadian Tire has shown stability over a long period, in recent years it has operated in a difficult consumer environment. Increasing international competition, inflation, higher interest rates, and weaker discretionary spending have stalled the company's growth.

In recent years, the company has attempted to acquire legacy brands to increase its customer base but has recently sold Helly Hansen for \$1.3 billion to streamline its core Canadian business. Its recent acquisition of the Hudson Bay brand highlights a more Canadian focused strategy which ties in to the 'True North' initiative which the company started in 2024. This initiative also has the goal of growing its Triangle Rewards system to reward shoppers for staying within the Canadian Tire retail empire. The Triangle rewards system has 9.8 million registered members as of 2025, indicating that Canadian Tire is still very much a part of the Canadian cultural retail consciousness and perhaps, one of the tools that the company could use to find a new path for growth.

Performance over time (Canadian Tire)

When looking at the financial performance of Canadian Tire from 2021 to 2025 we see a mature company with stable revenue, but when we drill down into some of the key ratios, we see a company that is becoming less profitable and more pressured by debt relative to earnings.

It's worth noting that 2023 was an unusually difficult year, affected by the fire at a major distribution centre¹ and the inflationary pressure facing most retailers. However, even allowing for this, Canadian Tire's profitability has weakened over the five-year period. As shown in Figure 1.

¹ [Fire at A.J Billes Distribution Center](#)

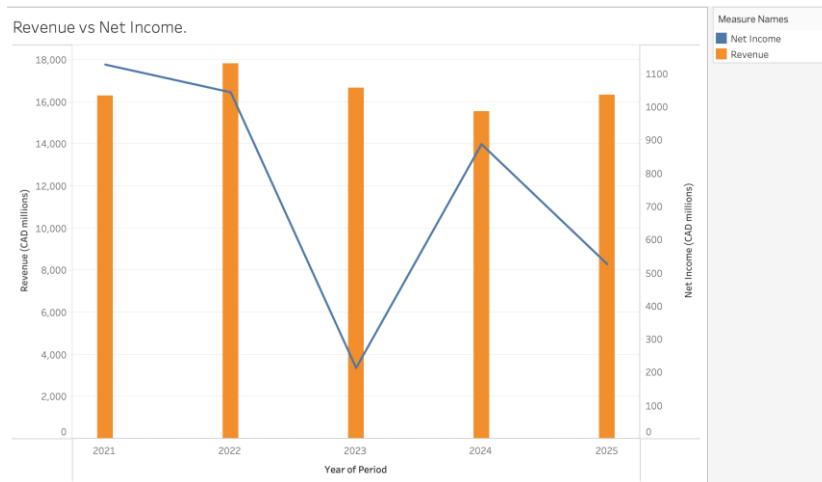


Figure 1. Revenue vs Net income (2021 – 2025)

Revenue has remained stable over the five-year period, but net income has declined sharply. The widening gap between steady sales and falling earnings signals rising costs, weaker profitability, and pressure on Canadian Tire’s overall financial performance.

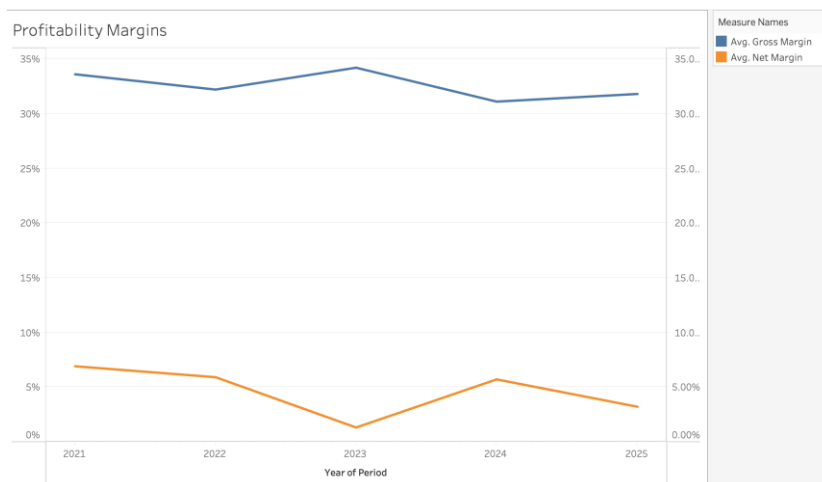


Figure 2. Profitability Margins (2021 – 2025)

Gross margins are stable and healthy, but net margins are volatile and trending downward. This shows that while Canadian Tire maintains strong product level profitability, higher operating expenses and weaker earnings quality are eroding overall profitability.

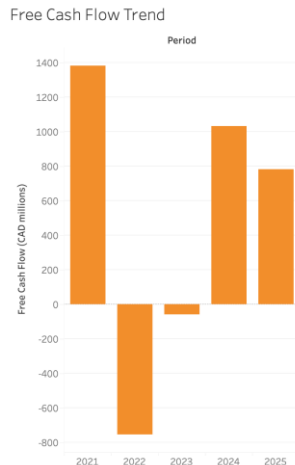


Figure 3. Free Cash Flow Trend (2021 – 2025)

Free cash flow is highly volatile, with sharp declines in 2022 and 2023 followed by partial recovery. This inconsistency highlights Canadian Tire’s difficulty converting earnings into cash consistently, raising concerns about long-term financial stability.

Property Plant & Equipment

Reported under IFRS showing historical value. Total PPE was \$10,123.6 million in 2025, up from \$9,770.4 million in 2024.² Canadian Tire reports an accumulated depreciation of \$4,600.8 million for the 2025 calendar year.³ As a big box retailer with multiple ongoing expansions into new distributions centres, it makes sense that the company would have a massive amount of capital tied up in Property Plant & Equipment, \$128.4 of the year-to-year increase can be largely attributed to the new Richmond distribution centre which was opened in 2025.

² Note 12 in Report to Shareholders. Page 110

³ See PPE Data chart in appendices for year of year breakdown

Item	2021	2022	2023	2024	2025
Gross PPE	\$7,865.5	\$8,997.7	\$9,444.5	\$9,770.4	\$10,123.6
Accumulated Depreciation	\$3,567.3	\$4,003.6	\$4,225.0	\$4,376.0	\$4,600.8
Net PPE	\$4,298.2	\$4,994.1	\$5,219.5	\$5,394.4	\$5,522.8
Net PPE / Total Assets	21.1%	22.6%	23.7%	24.3%	25.6%
Accumulated Depreciation / Gross PPE	45.4%	44.5%	44.7%	44.8%	45.4%
CapEx / Revenue	2.7%	4.7%	3.5%	3.5%	3.6%
Depreciation / Gross PPE	7.4%	6.9%	7.1%	6.8%	6.5%

Figure 4. Property Plant and Equipment summary

We reviewed Canadian Tire's PP&E accounting policy because differences in PPE measurement can affect ratios such as return on assets, asset turnover, depreciation expense, and leverage. Since Canadian Tire reports PPE using historical cost rather than market value, the PPE note does not materially change our recommendation, but it supports the need to interpret asset-based ratios carefully.

Against the industry (Using S&P Capital IQ)

For this report, we decided to compare Canadian Tire to 4 other large Canadian retailers that operate across the country. Those companies were Metro Inc., Loblaw Companies Limited, Empire Company Limited, Dollarama Inc. (TSX:DOL). Although the comparison isn't exact, they all compete with aspects of Canadian Tire's retail operations in some way.

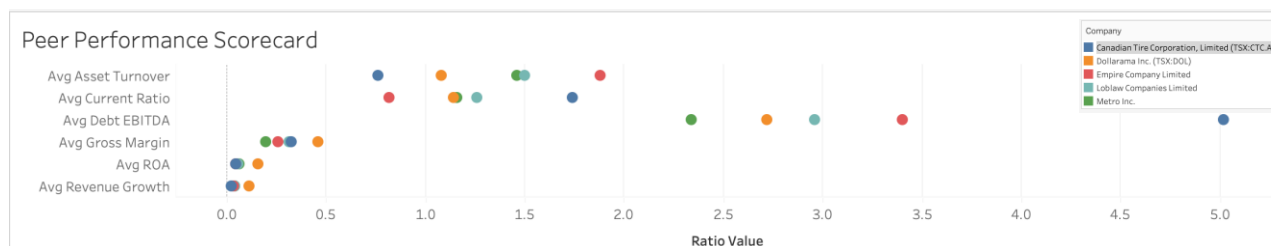


Figure 5. Peer Performance (Canadian Tire vs Competitors)

Canadian Tire shows strong liquidity and solid gross margins but ranks last among peers in revenue growth, ROA, asset turnover, and free cash flow. Its higher Debt-to-EBITDA ratio also indicates greater leverage and weaker earnings capacity compared to competitors.

Where Canadian Tire is strong

There are some areas where Canadian Tire is performing well. They have good liquidity, robust margins, and strong brand recognition. Their Current ratio is the strongest of our companies in their industry with an average ratio of 1.74 vs the peer average of 1.10 and a quick ratio of 1.28 vs 0.43 amongst peers. Their gross margin average of the 5-year period was 32.6% above the peer average of 30.9%. We can't ignore that Canadian tire moves a massive volume of retail goods effectively and consistently generates a healthy profit.⁴

⁴ See data chart - [CT Financial Analysis.xlsx](#)

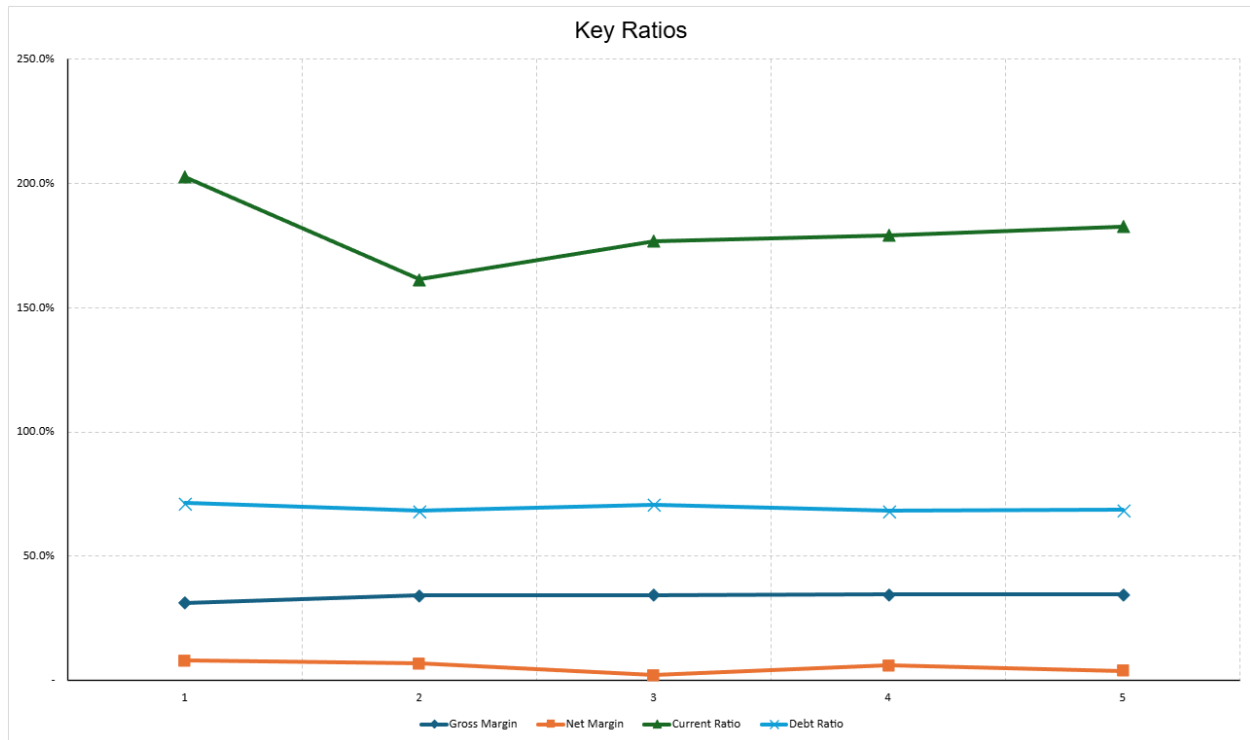


Figure 6. Key Ratios for Canadian Tire

Where Canadian Tire is weak

When compared to the peer group we see that Canadian Tire has several performance metrics ratios that are falling behind the competition. For example, Canadian Tire's revenue is only growing on average by 2.2% per year vs 5.7% for the peer average, this puts them last amongst peers. The company also ranked last in ROA with 4.5% vs 8.2% for peers.ⁱ

Canadian Tire also carries an average det to EBITDA ratio of 5.0x vs the peer average of 2.9x. Its asset turnover is also low compared to the group, seeing 0.76 vs 1.48 for peers. Lastly, the average free cash flow of Canadian Tire is \$475 million vs \$1.38 billion for the peer average. In all these ratios, we see Canadian Tire ranking last amongst the peer group.

These ratios should be interpreted with some caution because Canadian Tire has a different retail base than these four companies. Three of the peers are mostly grocery retailers with smaller

sections of other goods, meaning that their asset turnover rate needs to be higher as most of their inventory is perishable. Dollarama's customer base is buying small items more frequently than Canadian Tire. It makes sense that Canadian Tire would have a lower Asset turnover rate considering Canadian Tire sell items that the customer has to purchase less frequently.

Against the most comparable company (Empire)

Empire Company Limited (Sobeys) was selected as the most comparable company because it is a large Canadian retailer, reports under IFRS, and appears consistently in S&P Capital IQ's Quick Comps for Canadian Tire. While Empire operates primarily in grocery, its national scale, diversified banners, and exposure to Canadian consumer spending make it a credible benchmark for evaluating Canadian Tire's long-term financial health.

Revenue and Profitability: Empire shows steady revenue growth over the five-year period, increasing from roughly \$28 billion to over \$31 billion. In contrast, Canadian Tire's revenue has remained flat. Empire's net income has also been stable, consistently around the \$700 million range, while Canadian Tire's net income has declined sharply from \$1.26 billion in 2021 to \$609.7 million in 2025. This indicates that Empire is better positioned to maintain earnings in a challenging retail environment.

Efficiency: Empire's inventory turnover averages 12 - 14x per year, reflecting the fast-moving nature of grocery retail. Canadian Tire's turnover averages 3.5 - 4.2x, which is expected for a discretionary retailer but still highlights slower inventory movement and higher working capital requirements. Even accounting for product mix, Empire's efficiency advantage is clear.

Leverage: Empire maintains a Debt-to-EBITDA ratio near 3.3x, compared to Canadian Tire's average of around 5.0x. This means Empire is less leveraged relative to its earnings and has

stronger debt servicing capacity. Canadian Tire's higher leverage reflects weaker EBITDA performance and increases long-term financial risk.

Conclusion

When reviewed against its peers, Canadian Tire is clearly falling behind in several key metrics for efficiency and leverage. Canadian Tire's current and quick ratios suggest that it can manage its short-term obligations, but its long-term debt burden and declining profitability are more significant concerns. Canadian Tire has been undergoing a period of internal restructuring to better reflect its 'True North' strategy including the sale of Helly Hansen for \$1.3 billion, alongside significant reductions in goodwill and intangible assets. Given its declining profitability, elevated long-term debt, and stagnant growth over the last five years, we are hesitant to recommend Canadian Tire as a long-term Canadian investment.

References

Canadian Tire Corporation, Limited. (2026). *2025 annual report to shareholders*.
https://s201.q4cdn.com/326551073/files/doc_financials/2025/ar/2025-Annual-Report-to-Shareholders-ENG-AODA-File_FINAL.pdf

S&P Capital IQ. (2026). *Canadian Tire Corporation, Limited, Empire Company Limited, Metro Inc., Loblaw Companies Limited, and Dollarama Inc. financial data and peer comparison metrics* [Database]. S&P Global Market Intelligence. Retrieved June 2026.

Appendices

Key Ratios and Information

Metric	2021	2022	2023	2024	2025
Revenue	\$16,292.1	\$17,810.6	\$16,656.5	\$16,357.8	\$16,315.5
Net Income	\$1,260.7	\$1,182.8	\$339.1	\$971.9	\$609.7
Cash From Operating Activities	\$2,442.8	\$566.0	\$1,353.7	\$2,063.8	\$952.1
Total Assets	\$20,377.1	\$22,102.3	\$21,978.3	\$22,240.6	\$21,539.8
Total Liabilities	\$14,542.4	\$15,063.1	\$15,533.5	\$15,152.3	\$14,725.9
Gross Margin	31.2%	34.2%	34.2%	34.3%	34.4%
Net Margin	7.7%	6.6%	2.0%	5.9%	3.7%
Current Ratio	2.03x	1.61x	1.77x	1.79x	1.83x
Debt Ratio	0.71x	0.68x	0.71x	0.68x	0.68x

Industry Data - Metro Inc, Dollarama, Loblaws, Empire, Canadian Tire.

Canadian Tire Raw Data

CT	2021	2022	2023	2024	2025
Income Statement					
Revenue	\$16,292.1	\$17,810.6	\$16,656.5	\$16,357.8	\$16,315.5
Cost of Sales	\$9,794.4	\$11,712.7	\$10,952.9	\$10,739.1	\$10,700.2
Gross Profit	\$5,076.6	\$6,097.9	\$5,703.6	\$5,618.7	\$5,615.3
Operating Income	\$1,429.6	\$1,814.8	\$913.4	\$1,774.2	\$1,674.6
Interest Expense (or Net Finance Costs)	\$256.5	\$231.0	\$321.5	\$349.0	\$295.5
Income Before Tax	\$1,172.1	\$1,583.8	\$572.8	\$1,246.0	\$878.5
Income Tax Expense	\$309.5	\$401.0	\$233.7	\$274.1	\$219.5
Net Income	\$1,260.7	\$1,182.8	\$339.1	\$971.9	\$609.7

Balance Sheet – Assets					
Cash & Cash Equivalents	\$1,327.2	\$331.3	\$311.2	\$475.6	\$553.5
Trade Receivables	\$973.6	\$1,309.9	\$1,151.3	\$1,263.0	\$1,053.2
Inventory	\$2,312.9	\$3,216.1	\$2,693.7	\$2,558.3	\$2,417.5
Total Current Assets	\$10,546.8	\$11,530.4	\$11,293.1	\$11,347.9	\$11,316.3
Property & Equipment (Net PPE)	\$4,298.2	\$4,994.1	\$5,219.5	\$5,394.4	\$5,522.8
Goodwill	\$889.5	\$863.2	\$844.8	\$838.7	\$491.1
Intangible Assets	\$1,483.3	\$1,478.4	\$1,409.9	\$1,337.5	\$870.0
Total Assets	\$20,377.1	\$22,102.3	\$21,978.3	\$22,240.6	\$21,539.8
Balance Sheet – Liabilities					
Accounts Payable	\$2,508.3	\$3,200.9	\$2,689.4	\$2,931.4	\$2,811.6
Short-Term Borrowings (if shown)	\$165.4	\$576.2	\$965.7	\$295.8	\$295.1
Current Portion of Long-Term Debt	\$150.5	\$1,040.2	\$560.5	\$680.4	\$758.0
Total Current Liabilities	\$5,205.8	\$7,147.0	\$6,389.0	\$6,335.4	\$6,196.5
Long-Term Debt	\$4,115.7	\$3,217.5	\$4,404.0	\$3,875.5	\$3,617.9
Total Liabilities	\$14,542.4	\$15,063.1	\$15,533.5	\$15,152.3	\$14,725.9
Balance Sheet – Equity					
Retained Earnings	\$4,136.9	\$5,070.2	\$5,128.2	\$5,614.4	\$5,230.3
Total Shareholders' Equity	\$4,499.1	\$5,618.5	\$5,545.1	\$6,155.0	\$5,855.6
Total Equity	\$5,834.7	\$7,039.2	\$6,444.8	\$7,088.3	\$6,813.9
Cash Flow Statement					
Cash From Operating Activities	\$2,442.8	\$566.0	\$1,353.7	\$2,063.8	\$952.1
Capital Expenditures	\$436.5	\$834.6	\$580.9	\$576.3	\$582.0
Depreciation Expense	\$582.6	\$621.0	\$675.2	\$664.9	\$653.9
Dividends Paid	\$262.9	\$325.8	\$360.8	\$359.8	\$361.7
PPE Note					
Gross PPE	\$7,865.5	\$8,997.7	\$9,444.5	\$9,770.4	\$10,123.6
Accumulated Depreciation	\$3,567.3	\$4,003.6	\$4,225.0	\$4,376.0	\$4,600.8

Net PPE	\$4,298.2	\$4,994.1	\$5,219.5	\$5,394.4	\$5,522.8
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Canadian Tire Ratio Analysis

CT Ratio	2021	2022	2023	2024	2025	Category
Revenue Growth		9.3%	(6.5%)	(1.8%)	(0.3%)	Growth
Gross Margin	31.2%	34.2%	34.2%	34.3%	34.4%	Profitability
Operating Margin	8.8%	10.2%	5.5%	10.8%	10.3%	Profitability
Net Margin	7.7%	6.6%	2.0%	5.9%	3.7%	Profitability
Current Ratio	2.03x	1.61x	1.77x	1.79x	1.83x	Liquidity
Quick Ratio	0.44x	0.23x	0.23x	0.27x	0.26x	Liquidity
Debt Ratio	71.4%	68.2%	70.7%	68.1%	68.4%	Solvency
Debt-to-Equity	2.49x	2.14x	2.41x	2.14x	2.16x	Solvency
ROA		5.6%	1.5%	4.4%	2.8%	Profitability
ROE		18.4%	5.0%	14.4%	8.8%	Profitability
Asset Turnover		0.84x	0.76x	0.74x	0.75x	Efficiency
Inventory Turnover		4.24x	3.71x	4.09x	4.30x	Efficiency
OCF / Net Income	1.94x	0.48x	3.99x	2.12x	1.56x	Cash Flow
Free Cash Flow	\$2,006.3	(\$268.6)	\$772.8	\$1,487.5	\$370.1	Cash Flow

Performance Ratios

CT Item	2021	2022	2023	2024	2025
Revenue	100.0%	100.0%	100.0%	100.0%	100.0%
Cost of Sales	60.1%	65.8%	65.8%	65.7%	65.6%
Gross Profit	31.2%	34.2%	34.2%	34.3%	34.4%
Operating Income	8.8%	10.2%	5.5%	10.8%	10.3%
Interest Expense (or Net Finance Costs)	1.6%	1.3%	1.9%	2.1%	1.8%

Income Before Tax	7.2%	8.9%	3.4%	7.6%	5.4%
Income Tax Expense	1.9%	2.3%	1.4%	1.7%	1.3%
Net Income	7.7%	6.6%	2.0%	5.9%	3.7%

PPE Data

Item	2021	2022	2023	2024	2025
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Depreciation / Gross PPE	7.4%	6.9%	7.1%	6.8%	6.5%

ⁱ See Industry Data chart in appendices for calculations